

Table 1 Appendix: Perfect Foresight Liquidity Constrained Taxonomy

For constrained $\dot{c}$ and unconstrained $\bar{c}$ consumption functions

{table:LiqConstrSec

Main Condition Subcondition	Math	Outcome, Comments or Results
GIC and RIC	$1 < \mathbf{P}/\mathcal{G}$ $\mathbf{P}/R < 1$	Constraint never binds for $m \geq 1$ FWC holds ($R > \mathcal{G}$); $\dot{c}(m) = \bar{c}(m)$ for $m \geq 1$
and RIC	$1 < \mathbf{P}/R$	$\dot{c}(m)$ is degenerate: $\dot{c}(m) = 0$
GIC	$\mathbf{P}/\mathcal{G} < 1$	Constraint binds in finite time $\forall m$
and RIC	$\mathbf{P}/R < 1$	FWC may or may not hold $\lim_{m \uparrow \infty} \bar{c}(m) - \dot{c}(m) = 0$ $\lim_{m \uparrow \infty} \dot{\kappa}(m) = \underline{\kappa}$
and RIC	$1 < \mathbf{P}/R$	FWC $\lim_{m \uparrow \infty} \dot{\kappa}(m) = 0$

Conditions are applied from left to right; for example, the second row indicates conclusions in the case where ~~GIC~~ and RIC both hold, while the third row indicates that when the GIC and the RIC both fail, the consumption function is degenerate; the next row indicates that whenever the GIC holds, the constraint will bind in finite time.